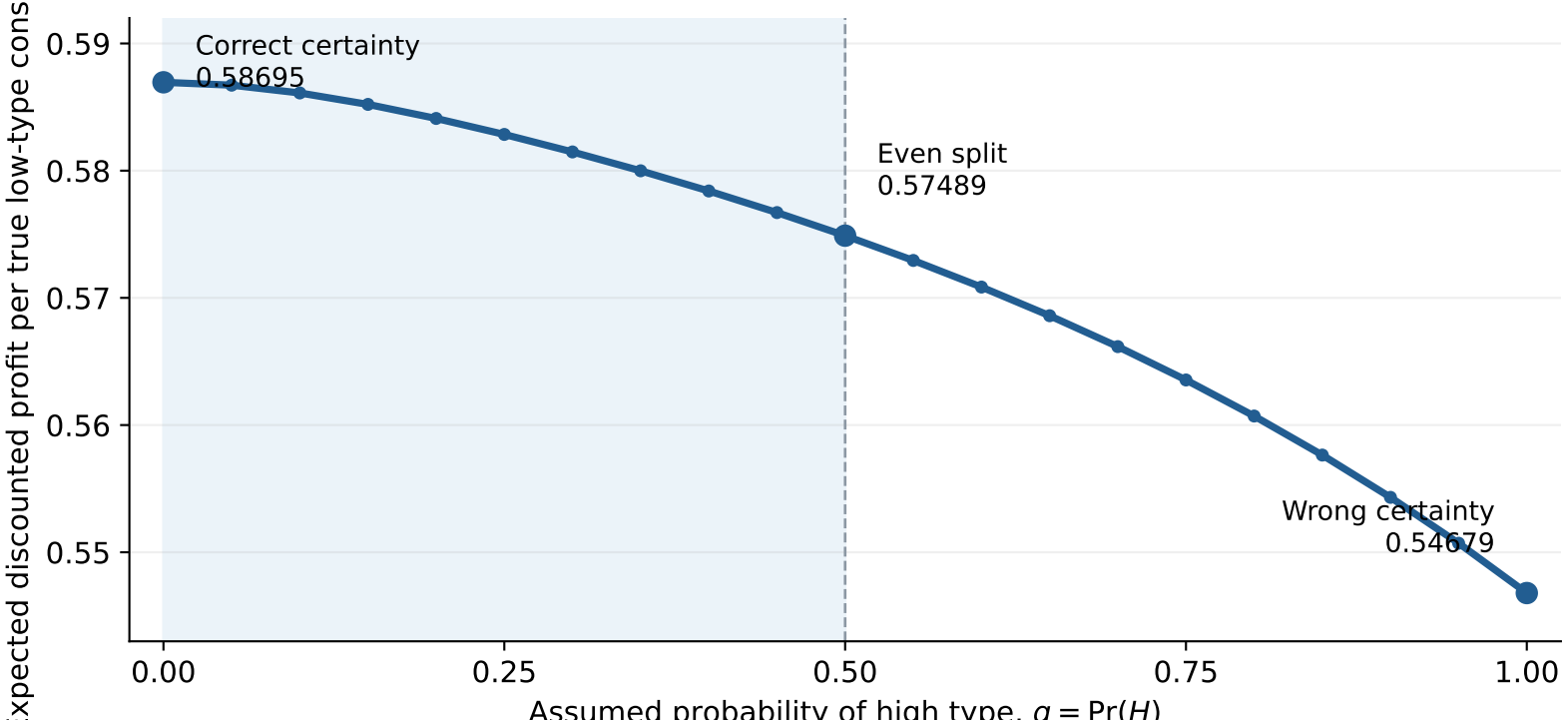
Low-type profit falls as the pricing belief moves away from L

True type held fixed at L; the common price menu is reoptimized at each q.



Shaded region: beliefs become more evenly split, moving from certainty about L to 50/50.
Beyond 50/50, beliefs become more certain about the wrong type. Points are model results.